Loss Prevention and Shrinkage Policy

Reference LP-POL-001 · version 3.2 · owner: Head of Loss Prevention · effective 1 September 2026

1. Purpose and scope

This policy sets out how stores, distribution centres and support teams prevent, detect, investigate and record stock loss (shrinkage). It applies to every store, every colleague and every contractor working on our premises.

Inventory Sentinel is the system that flags unusual stock movements. Its alerts are leads for investigation, never evidence on their own. Every alert is handled under this policy and the standard operating procedure (SOP) that matches its likely type.

2. Definitions

- Shrinkage: the difference between the stock the books expect and the stock physically counted, valued at cost.
- Known loss: loss with a recorded cause (damage, expiry, confirmed theft, recorded write-off).
- Unknown loss: shrinkage with no recorded cause. Reducing unknown loss is the main aim of this policy.
- Revenue at risk: units at risk multiplied by the selling price. The board reports open cases above GBP 100,000 in red.
- Case: an alert that has been opened for investigation. A case is closed when its outcome is recorded.

3. Principles

- Patterns, not people. We describe what the data shows (consistent with external theft, consistent with a counting error). We never name or accuse a person on the strength of an alert.
- Cheapest check first. A recount and the paperwork come before CCTV, interviews or any intrusive step.
- Proportionate and confidential. Alerts consistent with internal involvement are seen only by the store manager and loss prevention.
- Every case ends with a recorded outcome, so the detection model learns from what teams find.

4. Roles and responsibilities

Role	Responsibility
Head of Loss Prevention	Owns this policy, the master SOP and the monthly shrinkage report to the board.
Regional loss-prevention manager	Leads L3 responses, approves police referrals, decides when HR is involved.
Loss-prevention investigator	Runs till audits, CCTV reviews and confidential investigations.
Store manager	Owns L1 and L2 responses in store, approves adjustments up to GBP 500.
Store stock controller	Recounts, cycle counts and stock adjustments with reason codes.
Area manager	Approves adjustments above GBP 500 and till-control changes.

5. Response levels and response times

The escalation level comes from the alert's severity and the money at risk, as set in the master SOP (missing-inventory-response).

Level	When	Respond within	Who is told
L3	Critical or high alerts with GBP 500 or more at risk; any critical alert with GBP 100 or more	4 hours	Regional LP manager, store manager, area manager
L2	Other critical alerts; high alerts from GBP 100; medium alerts from GBP 500	24 hours	Store manager, LP investigator
L1	Everything else	72 hours	Store stock controller

Service level: a case should be resolved, with its outcome recorded, within 7 days of the last flagged day. The target is 95% of cases within this service level. Open critical or high cases past 7 days are reported as overdue.

6. Investigation standards

- Quantify first: recount the line before drawing any conclusion.
- Check the paperwork: deliveries, transfers, returns and adjustments for the flagged dates.
- Review CCTV only after the recount and paperwork, following the CCTV and Evidence Handling Guideline (LP-GDL-003).
- Keep case notes in the loss-prevention case system. Sentinel holds the outcome only, never names.

7. Police and HR referrals

External theft is reported to the police when a single incident exceeds GBP 200, when violence or threats are involved, or when the pattern is consistent with organised retail crime across stores. The regional LP manager approves every referral.

HR is involved only when evidence gathered under this policy supports it. An alert, a score or a pattern is never grounds for action against a person.

8. Measures and targets

Measure	Target	Reported
Shrinkage as a share of sales	1.2% or less	Monthly
Inventory record accuracy (count within 1 unit or 2% of the books)	97% or more	Weekly
Cases resolved within 7 days	95%	Weekly
Verified loss prevented (closed cases confirmed as real)	Tracked, no target	Monthly

9. Records and data protection

Case files are kept for six years. CCTV is kept for 30 days unless it is retained as evidence for an open case. Personal data is handled under the data protection policy; requests from individuals go to the data protection officer.

10. Review

This policy is reviewed every year, or sooner after a significant incident or a change in the law.